

Robinhood Markets, Inc.

HOOD NASDAQ

Hold	\$100.24 ▲ 0.28%	12M Price Target \$110.00	52-Week Range \$63.52 – \$153.86	Market Cap \$90.27B
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HOOD: Prediction Markets Hype Meets Leverage Risk Reality

WHAT HAPPENED

- Stock basically flat this morning (\$100.24) after a brutal three-day slide from \$115 → \$100 (down ~13%). That's a lot of froth coming out. The catalyst yesterday was Barron's flagging that the Pattern Day Trader rule is dead — meaning small accounts can now day-trade with leverage freely, which is a huge revenue tailwind for HOOD but also a "peak retail mania" red flag some investors are worried about.
- Bernstein published a note saying prediction markets could be a \$1.7B business for HOOD — that's why the stock is stabilizing today. For context, HOOD does ~\$3B in annual revenue, so \$1.7B is massive if it materializes.

WHY IT MATTERS

Here's what's really going on: HOOD is becoming a pure-play bet on the deregulation of retail finance. The killing of the Pattern Day Trader rule (which required \$25K minimum to day-trade actively) is a gift from the current SEC — it unlocks millions of small accounts to trade with leverage, which is HOOD's highest-margin business. Combine that with the CFTC greenlighting prediction markets and the crypto-friendly stance, and HOOD is basically the poster child for the "let retail cook" administration. BUT — the 13% drop last week tells you the smart money thinks the good news is already priced in, and Buffett publicly calling this a "gambling" market is the kind of quote that ends up on magazine covers at market tops.

POLICY & POLITICAL WATCH

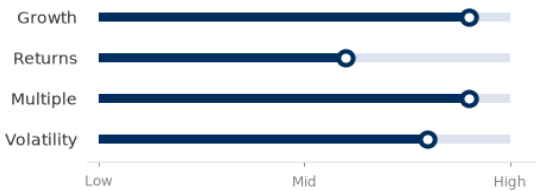
The regulatory environment is about as friendly as it's ever been for HOOD: the SEC under the current administration has rolled back the Pattern Day Trader rule, the CFTC has effectively blessed prediction markets (event contracts on elections, sports, econ data), and crypto rules under the FIT21 framework favor exchanges that operate onshore. The thing to watch is the state-level pushback — several state AGs (Massachusetts especially) are trying to challenge prediction markets as illegal gambling, which could carve out HOOD's biggest new growth engine. Also keep an eye on any capital gains tax proposals in the fall budget cycle — higher retail trading taxes would hit HOOD's active user base hardest.

IS IT EXPENSIVE?

Key Data

Price (USD)	\$100.24
12M Price Target	\$110.00
Upside / (Downside)	+9.7%
Market Cap	\$90.27B
FY2026E Revenue	\$4,850M
FY2027E Revenue	\$6,100M
FY2026E EPS	\$1.85
FY2027E EPS	\$2.60
Fwd P/E	54.2x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$115.00	\$102.00	\$88.00
6 Months	\$135.00	\$110.00	\$80.00
1 Year	\$160.00	\$118.00	\$72.00
2 Years	\$210.00	\$140.00	\$65.00
5 Years	\$320.00	\$180.00	\$55.00
10 Years	\$500.00	\$250.00	\$45.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Energy (+2.4% weekly) is quietly leading — likely a mix of geopolitical premium and expectations of looser drilling regulations. Tech is bouncing today but was down 2.4% on the week, suggesting rotation out of high-multiple growth.

COOLING OFF: Tech and communications services — the AI/growth trade is taking a breather as investors digest whether valuations got ahead of reality. This matters for HOOD because it trades like a tech stock even though it's technically a financial.

ROTATION WATCH: Money is rotating from mega-cap tech into energy and defensives, which is typically a "late-cycle" signal — that's a yellow flag for a hyper-speculative name like HOOD that needs risk appetite to stay elevated.

RELATED PLAY: If you like the retail speculation theme but want less froth, Interactive Brokers (IBKR) just posted 34% account growth and trades at half HOOD's multiple. Coinbase (COIN) is the more direct crypto beta play.

WHO'S WINNING IN THIS SPACE?

- IBKR (Interactive Brokers): 34% account growth, way cheaper multiple, benefits from same deregulation tailwind without the memecoin exposure.
- COIN (Coinbase): Direct beneficiary of crypto-friendly regulation and the same "retail is back" thesis.

HOOD CONTEXT: HOOD is lagging its peer group over the last week (down 13% vs. sector flat), which tells me the market is starting to question whether the growth story justifies the multiple. Options flow is still very bullish (put/call ratio 0.36, unusual call buying at \$90-100 strikes), so traders are betting on a bounce — but that's the same crowd that bought at \$153 in the last few months.

WHAT I'D DO WITH THIS STOCK

6/10 Conviction Score

CONVICTION: 6/10 — I like the business and the policy tailwinds, but the valuation and the recent price action tell me to be patient, not aggressive.

POSITION SIZE: Keep it at 2-3% — this is a high-beta stock that can swing 15% in a week, so size it small enough that a bad month doesn't ruin your portfolio.

ENTRY POINTS: I'd wait for \$85-92, which is where the 200-day moving average sits and where the stock last consolidated. Chasing at \$100 after a 13% drop feels like catching a falling knife.

TIME HORIZON: 12-18 months, with the key catalyst being Q3/Q4 earnings that show whether prediction markets and expanded leverage actually convert to revenue.

WHEN TO BAIL: If revenue growth drops below 25% YoY, or if a court rules against prediction markets in a major state, or if the stock breaks \$80 on high volume — that's structural damage.

HEDGING: If you own HOOD, pair it with something boring like Schwab (SCHW) or even short a small position in ARKK — that way if the retail speculation trade unwinds, you're not fully exposed.